

Subject Code	AF5358
Subject Title	International Banking
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	Pre-requisite: Completion of six year-1 compulsory subjects
Objectives	Banks play a very important role in the global financial markets. The increasing publicity associated with the international banking industry, and the vast career opportunities offered by various department of banks, call for a need to more thoroughly understand what banks do and the functions they perform in the financial markets. The course aims to provide students a practical perspective of how banking works, so that they can better understand this industry (and the skill sets involved) and be better prepared for their career in banking upon graduation. This course contributes to the achievement of the programme by enabling students to apply conceptual frameworks drawn from Accounting, Risk Management, Economics, Quantitative Method, Business Ethics and Law to the analysis of investment and corporate finance issues (Outcome 1), solve asset management/corporate finance problems as they present themselves in real-life situations (Outcome 2), and formulate financial strategies and envision their outcomes (Outcome 3).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand and explain the role of banks and how they operate; - Understand and explain how various front and back office business lines of a bank work; - Understand and explain the various funding options employed by banks; - Apply practical methodologies in the equity and credit rating analysis of banks.
Subject Synopsis/ Indicative Syllabus	Banking Overview Banks' role and function; Key banking players; International financial markets; Foreign exchange markets. Bank Analysis Bank equity analysis; Bank credit analysis. Bank Business Operations Corporate and consumer banking; Corporate finance; Sales and trading; Credit and market risk management; Interest rate risk management; Bank capital management (Basel I, II, III and IV); Fintech risk. Bank Funding Securitization

Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through lectures. This allows direct contact and discussion between the lecturer and students. Assignments, magazine and newspaper articles, and case studies will be used to illustrate the application of the theories, and to encourage independent learning skills.																																																					
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="6">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th></th><th></th></tr><tr><td>Class Presentation/Participation</td><td>15 %</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Group Assignments</td><td>35 %</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Final Examination</td><td>50 %</td><td>✓</td><td>✓</td><td>✓</td><td>✓</td><td></td><td></td></tr><tr><td>Total</td><td>100 %</td><td colspan="6"></td></tr></table> Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes: Class discussions, presentations and group assignment/test enable students to identify real life banking issues and explain the related observations or phenomena, apply up-to-date professional knowledge acquired in the course to solve similar banking problems in real case situations, and analyze systematically and theoretically the underlying factors and reasons that lead to new banking problems they may not have encountered before, and to critically examine how the existing internal and external situations relate to such problems. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>								Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)						a	b	c	d			Class Presentation/Participation	15 %	✓	✓	✓	✓			Group Assignments	35 %	✓	✓	✓	✓			Final Examination	50 %	✓	✓	✓	✓			Total	100 %						
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Final Examination	50 %	✓	✓	✓	✓																																																	
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Student Study Effort Expected	Class contact:																																																					
	▪ Lectures / Seminars							39 Hrs.																																														
	Other student study effort:																																																					
	▪ Review of course materials							40 Hrs.																																														
	▪ Working on assignments							40 Hrs.																																														
	Total student study effort							119 Hrs.																																														

Reading List and References	<u>Main Text</u> S Saunders, A., Cornett, M. M., & Erhemjamts, O. (2021). Financial institutions management : a risk management approach (Tenth edition.). McGraw-Hill Education.References Berger A. Molyneux P. and J.O.S. Wilson (3rd Edition) (2022) “The Oxford Handbook of Banking” Oxford University Press, UK. Cooperman, Elizabeth. (2016). Managing Financial Institutions. Routledge. https://doi.org/10.4324/9781315707532 Finel-Honigman, I., & Sotelino, F. (2015). International banking for a new century. Routledge/Taylor & Francis Group. James W. Kolari and Benton E. Gup, Commercial Banking: The Management of Risk, Wiley, 2005 Nicoletti, B. and Bernardo, N. (2018) Procurement Finance: The Digital Revolution in Commercial Banking, 1/e, Palgrave Macmillan. Rose, P. S., & Hudgins, S. C. (2013). Bank management & financial services (Ninth edition.). McGraw-Hill. Annual reports of various financial institutions. Articles from US Federal Reserve, Bank for International Settlement, Hong Kong Monetary Authority, and various newspapers such as Financial Times. The following references contain good discussion on the global financial crisis and lessons for Covid-19: Acharya, V. V. & Richardson, M. ed. (2009) Restoring Financial Stability – How to Repair a Failed System, Wiley. Bernanke, B. S. (2020). The new tools of monetary policy. American Economic Review, 110(4), 943-83. Bhar, R., & Malliaris, A. G. (2021). Modeling US monetary policy during the global financial crisis and lessons for Covid-19. Journal of policy modeling, 43(1), 15-33. Fox, Corey J. (2018). Risk Management Lessons from The Financial Crisis: A Textual Analysis of The Financial Crisis Inquiry Commission’s Report. Journal of Business Strategies, 35(1), 71–97. Financial Crisis Inquiry Commission (2011) The Financial Crisis Inquiry Report, Authorized edition, Public Affairs Reports. Paulson, H. M. Jr. (2010) On the Brink – Inside the Race to Stop the Collapse of the Global Financial System, Business Plus. Sorkin, A. R. (2009) Too Big To Fail – Inside the Battle to Save Wall Street, Allen Lane. Stiglitz, J.E. (2010) Freefall – America, Free Markets, and the Sinking of the World Economy, Norton. Nicoletti, B. Banking 5.0: How Fintech Will Change Traditional Banks in the ‘New Normal’Post Pandemic. Springer Nature. Stiglitz, J. E. (2010). Freefall: America, free markets, and the sinking of the world economy. WW Norton & Company.
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